

Assoc. Prof. Dr. Anita Gantner

WS 2026/27

Firms, Markets, Competition *(Firmen, Märkte, Wettbewerb)*

Elective course (Wahlmodul): 7.5 ECTS, 4 hrs weekly

Module:

- **Lecture** (VU, 2 hours, 3 ECTS): Mondays, 11:30 – 13:00 in SR 4
- **Proseminar** (PS, 2 hours, 4.5 ECTS): Thursdays from 13:15-14:45 in SR 4

Prerequisites:

Successful completion of the compulsory module “Theory of Economic Decisions: Strategic Behavior” (“Theorie ökonomischer Entscheidungen: Strategisches Verhalten”).

For international students: Students are expected to have a basic knowledge of monopoly and oligopoly. Willingness to deal with formal models is also required.

VU - Requirements for successful completion:

- *Attendance:* Regular attendance in class is expected.
- *Presentation:* Case studies on policy issues, mergers and cartels will be presented by small groups of students. More information will be given in the first meeting.
- *Written exams:* There will be a **final exam on January 25, 2027** during regular class.
- **Grading for VU-part:**
 - 30% for presentation
 - 70% for final exam.

PS - Requirements for successful completion:

- *Attendance:* Regular attendance in class is expected.
- *Homework assignments:* Several problem sets will be assigned, which have to be solved and uploaded on OLAT. You should be ready to present your solution in class, as this will count towards your PS-grade.
- *Quizzes:* **Four shorter quizzes** will take place during the semester. Each quiz covers the material from the preceding weeks and is intended to help you check your understanding of the key concepts and models. Regular quiz participation is meant to support steady progress in learning, provide early feedback, and reward consistent preparation throughout the course. Your **best 3 quizzes will count** towards the PS-grade, and your worst quiz will be dropped. Note that there are no alternative dates for quizzes; allowing you to drop one quiz takes into account illnesses or other reasons for being absent on the day of a quiz.

Dates for Quizzes: Oct 29, Nov 19, Dec 10, Jan 21.

- **Grading for PS-part:**
 - 25% for in-class *individual presentation* of homework problems (not your written solution, but your explanation)
 - 75% for quizzes: 25% for each of your best three quizzes.

Details on the homework assignments:

You may solve the assigned problem sets individually or in groups. Working on the problem sets will help you prepare for the quizzes and final VU-exam, and it is crucial for mastering the material.

We will discuss the assigned problems in class. For each assignment, several students will be asked to present their solutions (or attempts). Each *individual presentation* will be graded, allowing you to earn up to 25% of the total PS-grade. Multiple presentations are likely.

Note: Your written solution upload will not be graded, but it is there to help you present the problem in class, as you may use it for discussion. Only your oral discussions of the problems you are called to present in class are graded. All assignments need to be uploaded on OLAT on time (i.e. before Thursday class starts).

Please keep the quiz and exam dates free from any other obligations. There will not be alternative dates.

Registration:

Registration is via computer. Registered students who decide to unregister must do so by notifying the lecturer no later than at the end of week 3 of the semester. After that date, registrations cannot be cancelled.

Topics of this course:

- Review: Basic concepts of microeconomics and game theory: monopoly and oligopoly theory (formal treatment);
- Monopolistic competition;
- Competition policy: definition, objectives and European legal foundation;
- Welfare effects of monopolies: homogenous product and multiproduct monopolies, prevention through market mechanisms, price discrimination;
- Market power and its assessment;
- Collusion: types and features;
- Horizontal and vertical mergers;
- Vertical restraints (resale price maintenance, exclusive dealing, etc.);
- Price competition with product differentiation;
- Predatory pricing;
- Chain store paradox and strategic investments;

Use of AI: Note that you will be given instructions how to use AI for problem solving. The goal is to make reasonable use of this technology and, at the same time, deepen your understanding of the material.

Literature:

- Massimo Motta (2004). *Competition Policy: Theory and Practice*. Cambridge University Press.
- Hal Varian (2024): *Intermediate Microeconomics*, 10th Edition, W.W. Norton.
- Belleflamme, Paul, and Martin Peitz. *Industrial Organization: Markets and Strategies*. Cambridge University Press.